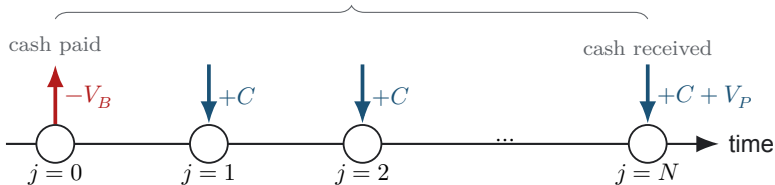


coupon security: $N = nT$ coupons, then par at maturity



$$\longleftarrow \text{PV}_0(\bar{c}_j) = \mathcal{D}_{j,0}^{-1}(y; n) \bar{c}_j \longrightarrow$$

net cash flow: $\bar{c}_0 = -V_B$, $\bar{c}_j = C$ for $0 < j < N$, $\bar{c}_N = C + V_P$